

Retail Space As A Service

Team Name: **The BeeKeepers**, Indian School of Business
Atul Dhaka
Lekhana Bethapudi
Prabir Bhattacharjee
Shreyosi Bhattacharjee

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Submission 1: Game Plan

Team Name: BeeKeepers **Theme Chosen:** Space As A Service

Reason For choosing the theme:

With real-estate space attaining saturation, technology can boost avenues in this space. Particularly, retail industry has always been on the cusp of cutting-edge technologies. To leverage the enormous potential and opportunities that an intelligent Retail space can bring about.

$67 Bn
Total Retail Space Lease Market

4 Bn SF
Total Retail Space Inventory

1.7%
Average Rent Growth Rate

$20 Bn
Target Retail Space Lease Market

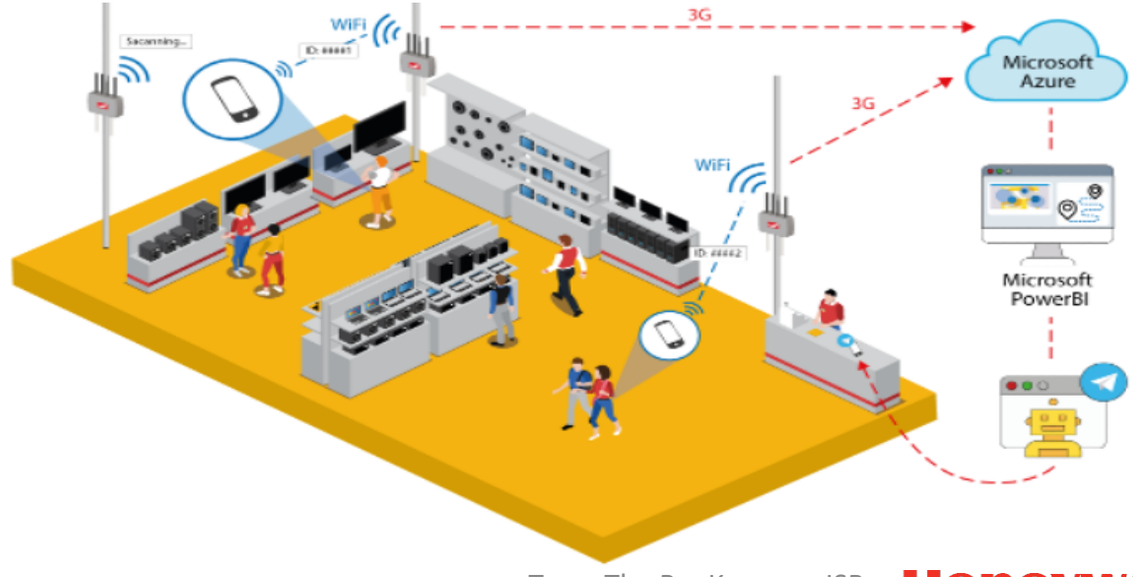
1.1 Bn SF
Target Retail Space Inventory

Executive Summary:

Retail market has changed from linear, single channel, analog, brand controlled to non-linear, multi-channel, digital, consumer controlled. Physical retail offers benefits such as trialability to customers, and reduced returns for suppliers. Still, the brick-and-mortar stores are on a declining course because they can't offer the convenience that a modern-day consumer demands, nor can they attain the scope and scale benefits commanded by purely online platforms. To overcome these deficiencies and regain the potential of these retail spaces, we recommend offering a bundled bouquet of technology enabled retail space. The offering will have IoT embedded systems that will benefit the businesses in 3 ways – improved marketing and sales performance, better streamlined facility management and efficiency of Lean operations. The revenue models are developed to cater to both rented space providers and space owners with captive stores. Finally, key challenges to adoption have been identified and deliberated.

Solution Offering

- Retrofitting the existing machines and value points with data sensors
- These devices collect inventory, motion, and customer data and share it with selected users in real time
- Data is analyzed in real time using advance analytics at cloud enabled Remote Operations Centre
- Huge amounts of data comes makes the systems vulnerable of data breach and Cybersecurity protocols are must



Source:

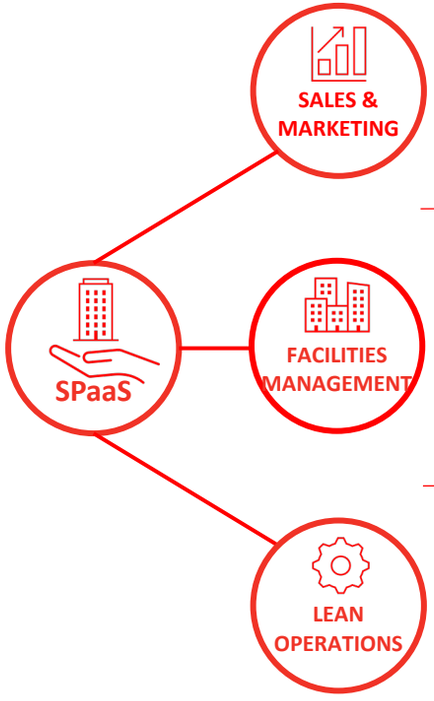
U.S. Shopping Center Q3 2020 Marketbeat Reports, Cushman & Wakefield
Retailing in the US, Euromonitor International, March 2020

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Objective: To create an intelligent shopping spaces as a service offering to improve landlords' profits and customer stickiness

Our primary focus is to overcome challenges of retail shopping centers posed by e-commerce and provide omni-channel shopping experience to consumers. Brick and mortar stores contribute directly to sales, but they also create value by increasing awareness and purchase intent to drive online sales. This means that the value of a store for both consumers and retailers is greater than the sales captured within them. However, the physical store retail sales in US grew at a rate of 1.9% whereas the overall retail sales grew at 3.8% in 2018-2019. The demand for retail stores is stagnating, which poses a threat for landlords of shopping spaces.

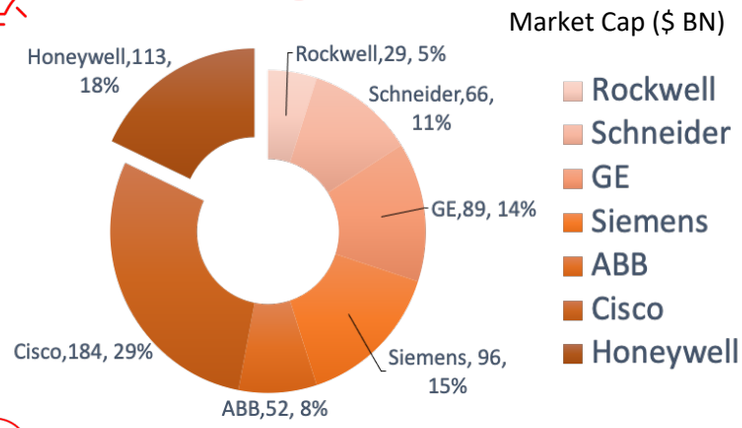
Retail SPaaS MVO For Retail Outlets Landlords – Recommended features bundled into the product



Problems	Recommendations
Customer preferences	Customer insights through iBeacons and geofences combined with historical purchase history data
Locating products	Visual spaces, IoT sensors to create interactive customer engagements
Lost sales	Analytics based path planning to enhance cross-sells.
Low intent to sales conversion	AI-driven Product Positioning, personalized discounts
Carbon emissions	Analyze building data on energy, utilities and occupants to reduce carbon footprint - using FORGE
Hazards e.g., Fire	Accurately detect fire and timely alerting – using NOTIFIER
Intrusions & thefts	Video analytics and IoT sensors at access points
Ambience & comfort	Smart thermostats linked with AI to adjust the temperature, humidity, and light based
Stock outs / Excess inventory	Real time inventory management using smart shelves, IoT & RFID and AI based demand planning
Parking queues	Connected cars, in-ground sensors and AI enabled parking management for automated parking
Distributed ERP	Azure cloud-based ERP solution for inventory management, billing and invoicing.
Lost time	Automated checkout, mobile point-of-sales, IoT & RFID enabled trolleys & returns management

Go-to-Market Strategy

Market Intelligence



Segmentation

Segment	Value Proposition
Speciality & Multichannel Stores	Premium Offering
Hypermarkets & Departmental Stores	Standard Offering
Convenience & Drug Stores	Basic Offering

Product Messaging:

Great Customer Experience, Increased Revenues and Decreased Costs

Revenue Model

ROI for Subscription model

Premium (as % of increased revenues)for convenience and enhanced sales on a monthly basis + Premium (fixed amount) for uptime commitment and continuous monitoring (AMC support**)**

ROI for Capital Expenses

Fixed initial payment based on lifetime returns discounted to present value + Premium (fixed amount) for uptime commitment and continuous monitoring (AMC support)

Key Challenges in Product Adoption

Awareness

The current awareness levels of intelligent retail space is low, and the same must be boosted with significant investment in educating the potential customers

Capital investment

Significant fixed capital investment is required in this space for digital transformation of the retail space to happen

Perceptions

Cultural acceptance and data privacy protection concerns reduce the perception of compatibility

Trialability is low because of extensive customization of the solution to fit each business and fairly complex technology

Metrics/KPIs

There is a need to produce measurable and tangible metrics for evaluating the effectiveness of solutions

Key Assumptions

- The market under study is the Physical Retail (Brick & Mortar) market in the USA
- Optimal network connectivity availability across the entire the market
- Availability of sufficient cloud storage
- Data security protocols are sufficient and effective
- Threats of cybercrimes and digital espionage are minimal

Submission 2: CASE BOX

Recommendations

Value proposition to the customers

The Retail Realty Industry can be classified into 4 broad layers

Technology solution provider (1) → **Retail space provider (2)** → **Retail Businesses (3)** → **End consumer (4)**

Each layer serves the one preceding as customer, however, all these layers are interdependent for the holistic growth of the industry.

The beekeepers work as technology solution provider in the chain and have an opportunity to gain a major share of the $20 billion Retail SpaaS market. Having identified the needs of the end consumer(4) through Voice of Customer surveys we recommend offering a bundled bouquet of technology enabled retail space to retail space provider(2) which enables them to obtain about 20% higher willingness to pay from their customers which are retail businesses(3) who will gain 5% revenue increase, 15% reduced costs and 14% increased profits through the following benefits offered by our solution.

Increased Revenues

1. Intent to purchase conversion
2. Higher Net working Capital availability
3. More transactions per hour

Optimized Operations

1. Reduced inventory carrying costs
2. Lower S,G&A expenses
3. Higher consumer satisfaction

Efficient Management

1. Reduced uncertainty
2. Lesser breakdowns
3. Lower environmental impact

Different modes of offerings

Premium
- Customer Insights
- Customer Engagement
- Customer Experience
- Optimize retail space

Standard
- Inventory management
- Fire management Solution
- Security Management
- Ambience & comfort

Basic
- Energy & utilities management
- Parking Management
- Connected ERP

Taking product to the customer

Participate in Trade Shows

- VR kiosks in major B2B conferences and tradeshows:
  - RECon
  - ISCS Florida Conference and Deal making conference
  - Realcomm-Miami

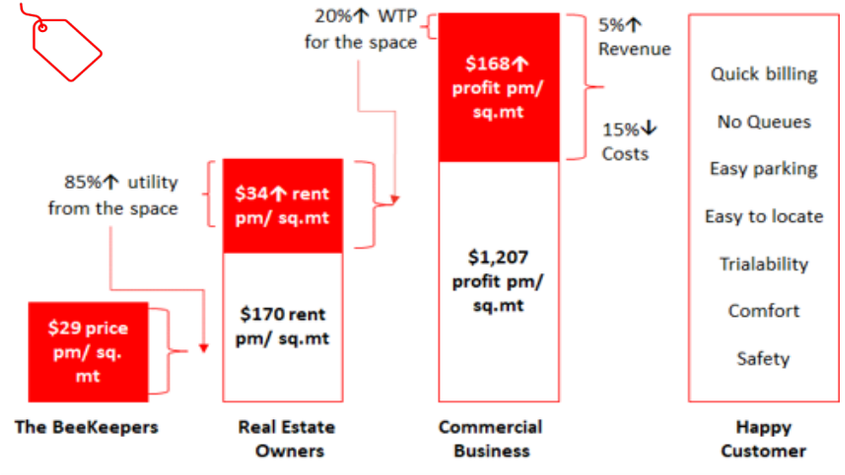
Leverage Existing Sales Channel

- Leverage existing sales channel to cross-sell and up-sell the Retail IOT offering
- Incentivize them in the Honeywell top channel partner recognition program

Conduct Targeted Advertising

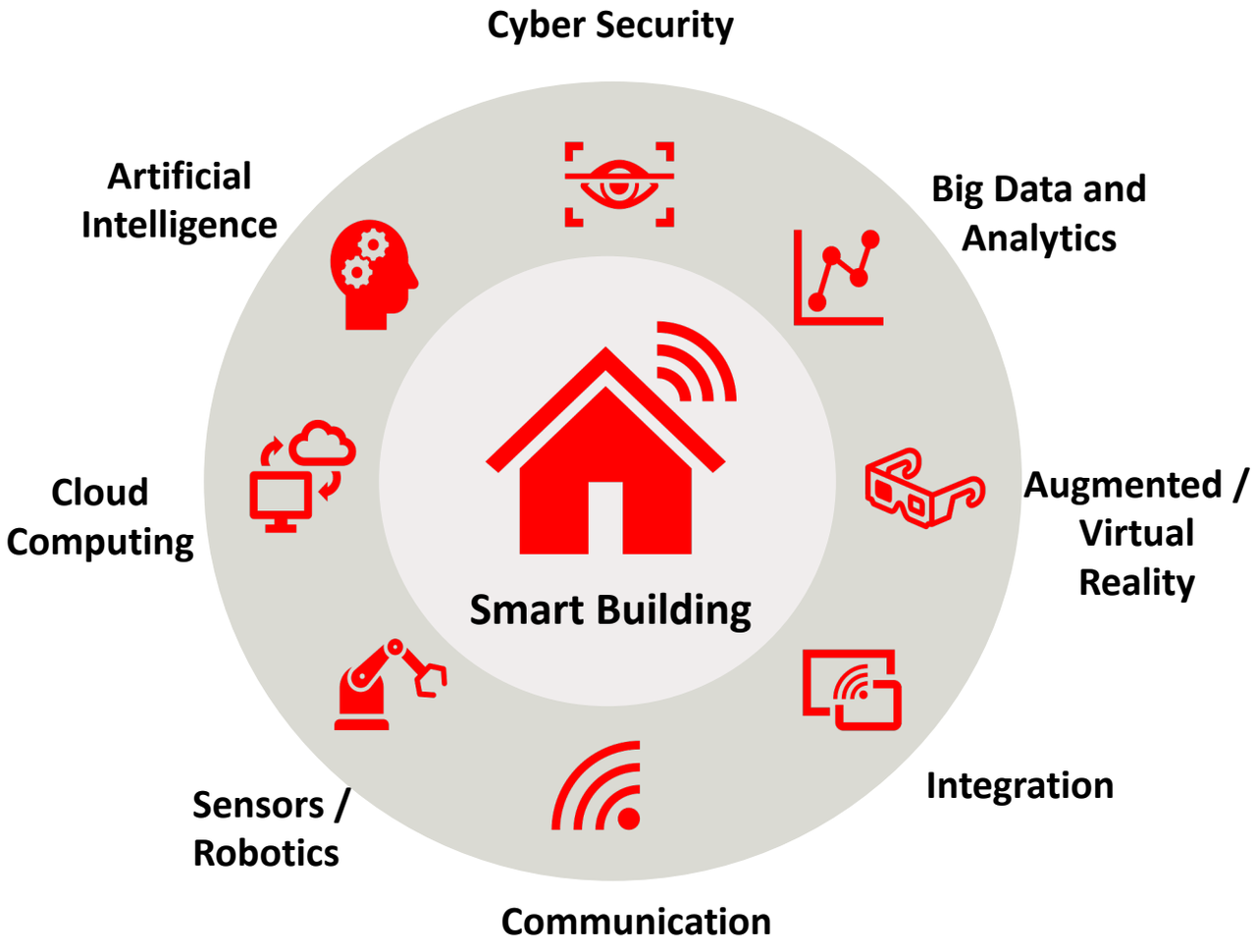
- Virtual Reality kiosk in Real-estate advisory firms
- Press-Release
- Targeted YouTube ads

Willingness to pay by the customer



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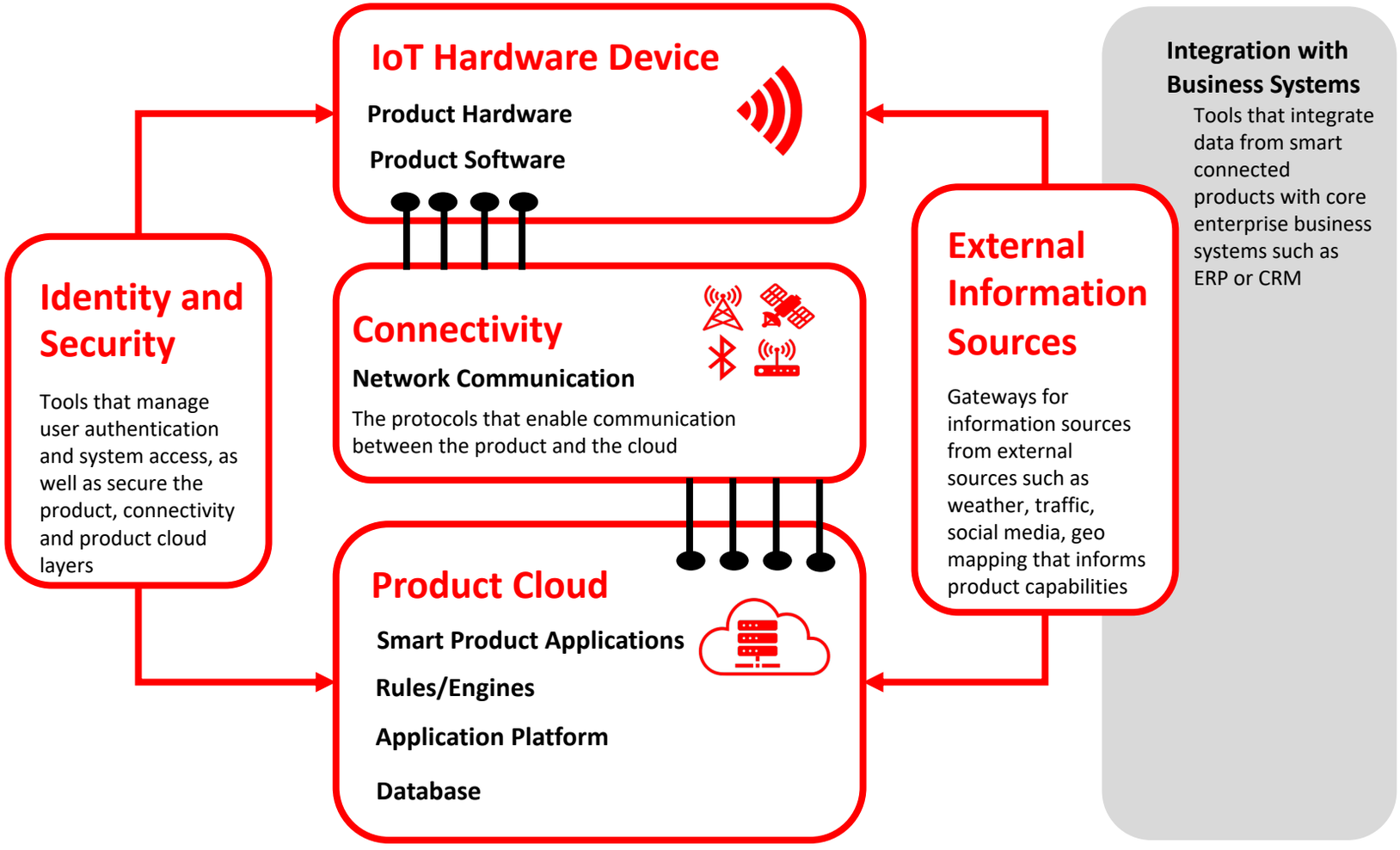
IoT in Retail



Value Proposition across each segment

- Fast and Easy deployment of IoT systems
- AI enabled Energy optimization
- Occupant and Environment centric applications that drive health, wellbeing and productivity
- Standardization of data and communication protocols to achieve scale
- An Enterprise Management platform that brings together all the KPI's, assets, processes, people on to a single for better decision making
- A balance of EDGE and core computing
- Rigorous Automation of processes that require constant overview and optimization- e.g.- HVAC
- Asset Performance management
    - Ability to rank various systems
    - Benchmarking various retail stores in a portfolio
    - Predictive and Just-In-Time Maintenance using AI and digital twins

Retail IoT Architecture and Technology Stack



Levels

7 **Collaboration and Processes**
(Involving people and business processes)

6 **Application**
(Reporting, Analytics, Control)

5 **Data Abstraction**
(Aggregation and Access)

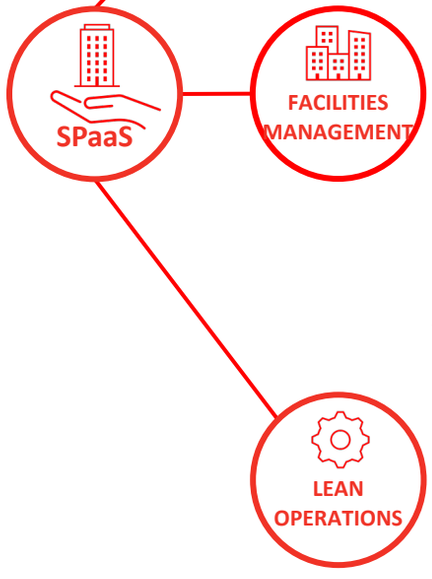
4 **Data Accumulation**
(Storage)

3 **Edge Computing**
(Data element analysis and transformation)

2 **Connectivity**
(Communication and)

1 **Physical Devices and Controllers**
(Sensors and Hardware)

Retail IoT Technology Solutions



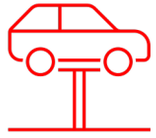
Product Features	Software Solution	Hardware Solution
Customer insights	Happiest Minds Beacon Analytics	Gimbal Beacon
Customer engagement	Honeywell Theatro	Dolphin CT40 mobile computer, Wireless headset
Customer experience	SaS Retail Omnichannel Analytics	
Optimize retail space	Microsoft Dynamics 365 Connected Store	Azure Cloud
Energy Management	Honeywell Forge	Enacto CatchAll IoT Gateway, Thermostats & Humidistats, metering devices, light sensors
Fire Management	Connected Life Safety Services	NOTIFIER's SWIFT mesh, Control panels, communication systems, fire alarm initiating devices, notification appliances, flame and gas detection
Security Management	Video analytics, Maxpro, Digital Video Manager	Cameras & video recording, building control systems
Ambience Management	Healthy Buildings Solution, ThermoRebellion	Electronic Air Cleaners, indoor air quality (IAQ) sensors, temperature & humidity sensors
	SmartClean Solution	Robotic floor cleaners
Real-time Inventory Management	Guided Work Solution	Wireless headset, general duty scanners, Mobility edge devices, RFIDs, Dolphin CT40 mobile computer
Parking Management	Car Parking and Energy Management Solution	Parking sensors, parking controller, ambient sensors, Gateways
Cloud ERP	Microsoft Dynamics 365 Commerce	Azure Cloud
POS & Returns	Mobile POS, automated checkout, Optro	Wireless headset, general duty scanners, mobility edge devices

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Customer Journey



Beacons identify customers as they walk by the store and notify them with personalized promotions



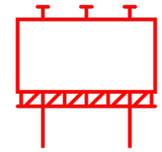
The intelligent parking system enables drivers to book the parking spots in advance and get real-time accessibility of the parking spaces on their mobile devices.



CRM employees empowered with customer data deliver personalized service



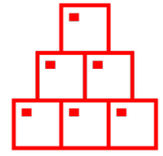
Connected devices offer a guided navigation reducing the customer abandonment combined with quick delivery



Intelligent displays change messages based on sensor information to direct traffic to various parts of the store



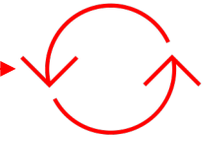
Beacons deliver personalized push notifications to the customers as they browse through the store driving sales and improving customer loyalty



Intelligent retail shelves provide clever shopping hacks such as digital pricing and notifies merchandiser of low inventory



Self-Checkout enables customers to process their own purchase while providing information on trends and re-stock requisition



Feedback
Upselling



IOT is used for the following facilities management

- Energy & utilities management
- Fire management Solution
- Intrusion & theft protection
- Ambience & comfort



IOT is used to manage

- Real time inventory
- Cloud based ERP
- Point of sales management

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Press Release: Smart Spaces for Smart Businesses

The Beekeepers' smart spaces solutions are poised to empower commercial real estate players to scale up businesses in the digital era

By integrating the intelligent package with commercial spaces, we empower businesses to scale up like never before. The power-packed modules have been developed blending in state-of-the-art IoT with end user's VoC. This suite offers a range of integrated solutions.

Most businesses in a real estate space has a lot of moving parts: sales, operations, maintenance which are dealt by people or traditional systems with limited efficacy.

A tech enabled space coordinates by making different systems talk to each other and provide seamless operations with reduced cost. The package is able to figure out consumer behavior which can be leveraged for the right product pitch to drive higher sales

As quoted by **Lekhana, CMO, The BeeKeepers "Our offering is going to revolutionize the way commercial spaces do businesses"**

How to get started?

The offering is very much user friendly, promotional videos are set to hit the market soon.

Our nationwide dealer partners are available as always

"Of all that I have seen so far, this is retail at its very best." - Rahul, CTO, ABC Enterprises

READY TO TAKE THE NEXT STEP?

Get in touch with sales@thebeekeepers.com



FAQ

1. Is our customer data safe?
2. What type of support is included with this Service?
3. Are there any training resources to get started?
4. What contract options are available?
5. How do we install upcoming updates?



Answers

1. *We are compliant with US data Privacy Agreements*
2. *We are there for you 24x7 at +1-506-871-0890*
3. *Yes, training services as a part of the offering*
4. *Please reach out to our sales team at +1-403-761-0891*
5. *The updates can be downloaded from our portal*



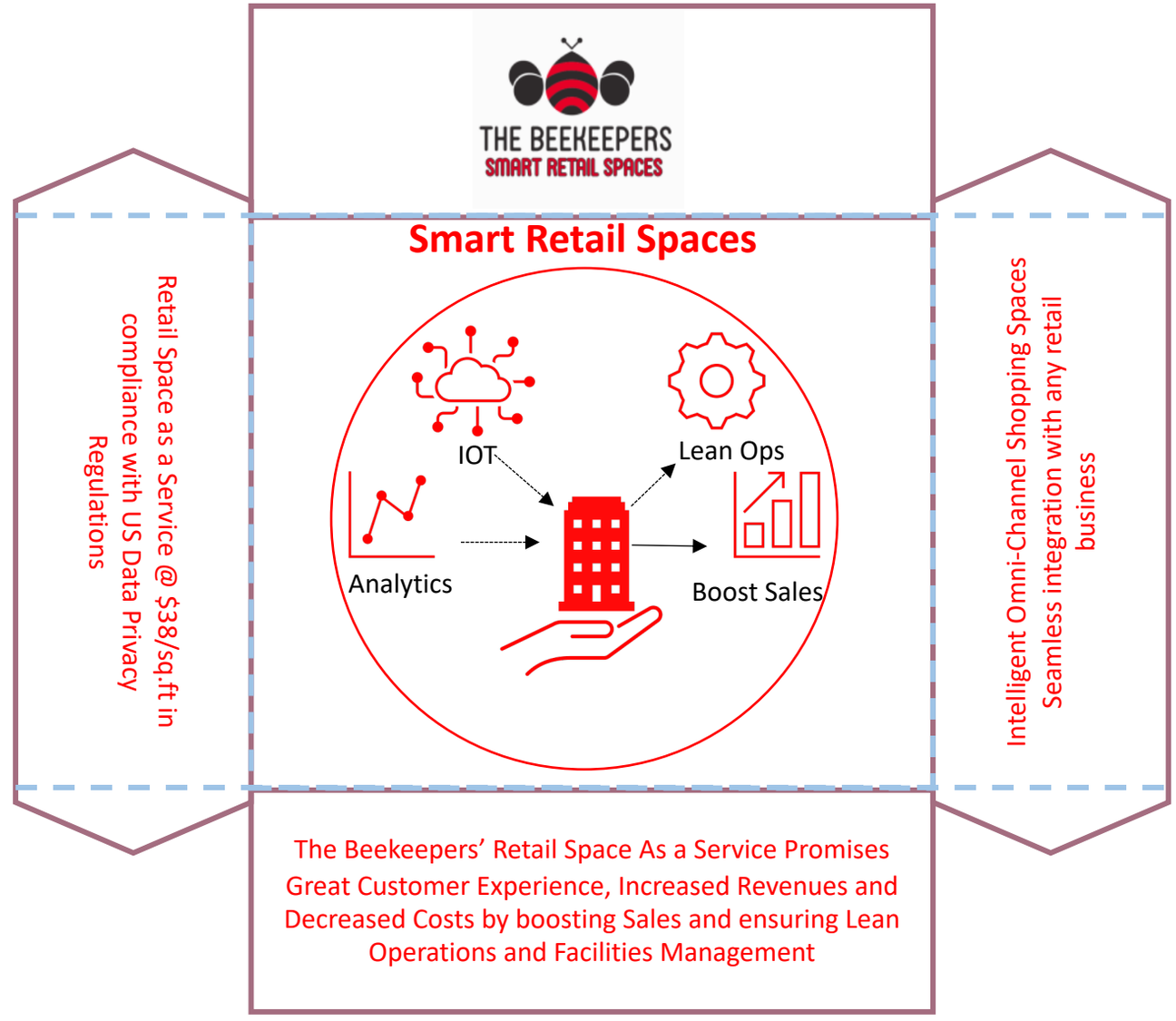
Why will The BeeKeepers win!

- We are looking into the entire spectrum of issues across commercial real-estate ecosystem and recommending sustainable solutions
- Very capable team with diverse experiences:
  - Atul Dhaka: IP Consultant, Published white paper on IOT
  - Lekhana Bethapudi: Technology Consultant
  - Prabir Bhattacharjee: Entrepreneur, Real-Estate
  - Shreyosi Bhattacharjee: Operations and Design at BrahMos Aerospace

Elevator Pitch

For Specialty Stores who want to build an omni-channel business in their brick and mortar stores driving customer engagement and sustainability the Intelligent Retail Spaces is a Space as a Service that offers retail space as a service that collects data from various touch points and uses the data to drive sales through enhanced customer experience and reduces costs and carbon footprint by optimizing the operations and facilities use unlike the legacy real-estate offerings who offer space as a product, our product *consolidated service that is MECE, and it provides the solutions which the end users value so our customer can extract most willingness to pay.*

Product in A Box



Appendix

Assumptions for Financials

- For financials, we considered a speciality retailer – toy store with an area of 1000 sq., mtr.
- Their Net profit is 10% of sales
- Assuming their revenue growth from the freeing up of fixed asset cost which is approx 5% of sales and increased purchase due to higher conversion considered at 5% of sales only.
- Control of Net Capital costs is hard to estimate, but we assume Goodwill and business sustainability will increase willingness to pay and hence premium of say 5%
- SG&A is about 30.9% and Inventory is 10% of sales. If SG&A reduces to 25% and Inventory reduced to 8%, that will increase the profits by about the same 7%.

Marketing Survey Questionnaire

Smart Retail Space Survey

* Required

Would you prefer a vanilla retail space with an add on of smart features for boosting sales & marketing for a price of $26/sq. ft? *

- Yes
- No

Would you prefer a vanilla retail space with an add on of smart features for ensuring facilities management for a price of $24/sq. ft? *

- Yes
- No

Would you prefer a vanilla retail space with an add on of smart features for ensuring lean operations for a price of $22/sq. ft? *

- Yes
- No

Would you prefer a vanilla retail space with an add on of smart features for boosting sales & marketing and ensuring facilities management for a price of $33/sq. ft? *

- Yes
- No

Would you prefer a vanilla retail space with an add on of smart features for boosting sales & marketing and ensuring lean operations for a price of $31/sq. ft? *

- Yes
- No

Would you prefer a vanilla retail space with an add on of smart features for ensuring both facilities management and lean operations for a price of $29/sq. ft? *

- Yes
- No

Would you prefer a vanilla retail space with an add on of smart features for ensuring facilities management ,lean operations and for boosting sales & marketing for a price of $38/sq. ft? *

- Yes
- No

Marketing Survey Results

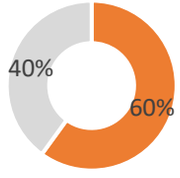
Smart Retail Space Survey

Yes No

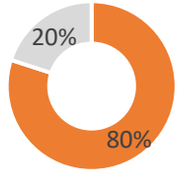
* Required

Total Responders: 34

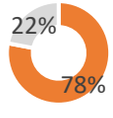
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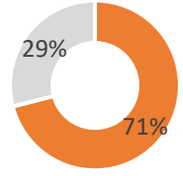


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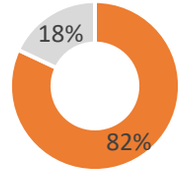


Yes No

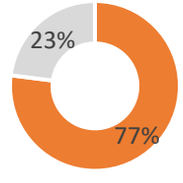
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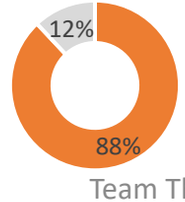
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Market analysis and supporting documentation





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